

**BEFORE THE
FEDERAL MARITIME COMMISSION**

AMERICAN IRON & METAL COMPANY
INC.

Complainant,

v.

PRIVA LOGISTICS INC.

Respondent.

DOCKET NO. 25-13

JOINT PREHEARING STATEMENT

Complainant, American Iron & Metal Company Inc. (“AIM”), and Respondent/Counter Complainant, Priva Logistics, Inc., (“Priva”), by and through their respective undersigned counsel, and in compliance with the Amended Scheduling Order (Dkt. 15) and 46 C.F.R. §502.210, hereby submit this Joint Prehearing Statement ahead of the Prehearing Conference in the captioned matter on March 17, 2026.

I. Issues Involved in the Proceeding.

A. AIM’s Position:

1. Priva’s violation of the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101, *et seq.* (the “Shipping Act”), by, *inter alia*, failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering AIM’s cargo including:
 - a. Improperly refusing to release the Sea Waybills (“SWBs”) associated with the two bookings (Booking Nos. NAM7478044 and 28435995), without lawful justification, or otherwise refusing to deliver AIM’s cargo thereby obstructing

AIM's ability to take possession of or deliver its cargo despite that AIM had paid all freight and shipping charges in connection with both shipments.

- b. Holding AIM's cargo hostage or otherwise refusing to release or deliver the cargo associated with Booking Nos. NAM7478044 and 28435995 for unrelated freight and demurrage charges in violation of the Shipping Act.
- c. Assessing what amounts to improper detention and demurrage charges in violation of 46 C.F.R. §§ 541.1 *et seq.*
- d. Assessing charges against AIM unrelated to Booking Nos. NAM7478044 and 28435995, that were unfair, unjust, unreasonable, and not previously disclosed or contained in any tariff or contract including:
 - i. \$70,000 for the misdeclaration charges;
 - ii. \$30,000 for "contract" and "operational/administrative damages";
 - iii. \$16,768 in attorneys' fees;
 - iv. \$250,000 as a security deposit for future charges;
 - v. Administrative charges of \$35.00 per container per day; and
 - vi. Monthly interest at a rate of 1.5% per month (18% per annum) that would be applied to all unpaid balances.

- 2. Priva did not assert a cargo lien with respect to the cargo for Booking Nos.

NAM7478044 and 28435995, but instead sought to use those shipments to assert commercial leverage over AIM in order to force AIM to pay Priva's monetary demands and enter into an indemnification agreement associated with Booking Nos. NAM6677014 and NAM6677015.

3. Repeatedly refusing to release the containers associated with Booking Nos. NAM7478044 and 28435995, despite AIM's repeated demand for release.
4. With respect to NAM7478044, forcing AIM to incur demurrage and detention charges associated with the release of the containers.
5. Priva's actions were normal, customary and continuous, as demonstrated by the timeline over which Priva engaged and continues to engage in its actions.
6. Priva's actions violated 46 U.S.C. §§ 41102(c) & (d), and 41104(a)(10), (14)-(15).
7. Priva violated 46 CFR § 515.32(d) by failing to provide copies of its invoices and supporting documents to AIM upon reasonable request.
8. Whether Priva was acting as an NVOCC or an ocean freight forwarder.
9. Priva's actions caused damage to AIM in the amount of approximately \$21,000.00, plus attorneys' fees, interest and cost.
10. Priva has not paid the alleged misdeclaration charge at issue and cannot establish a factual or legal basis for its damages.
11. To date, Priva cannot establish or explain why CMA assess the charges or why the containers are being held. It procured no testimony from the ocean carrier or any foreign entity.
12. Despite having no experience in the scrap metal industry and relying upon internet blogs, Priva seeks to improperly offer unfounded opinion testimony regarding how aluminum alloy should be described.

13. With respect to its claim that the Malaysia Shipments (defined below) have been abandoned, AIM has informed Priva repeatedly that they have not and recent communications establish this indisputable fact.
14. Indeed, Priva's entire position with respect to the Malaysia containers are based on hearsay and speculation.
15. Priva's claims for indemnification are asserting against the wrong party and any related claims pertaining to the Malaysia shipments at issue in this matter are speculative and premature.
16. Priva improperly seeks to rely upon an indemnification agreement with a separate and distinct entity and asks the FMC to improperly revise its contract and disregard the corporate form of two separate legal entities, American Iron & Metal Corp. and American Iron & Metal (USA) Inc., on the grounds that have no legal or factual basis.

B. Priva's Position:

Priva is an FMC-licensed NVOCC based in New York (FMC License Number 025540). AIM is a Canadian corporation engaged in the recycling and processing of scrap metal with operations and locations in Canada and the United States. For several years prior to this dispute, AIM contracted with Priva to arrange for the transport of metal materials to various international destinations. As explained in more detail below, the instant dispute arises out of one of those shipments, wherein AIM misdeclared the cargo within twenty (20) containers shipped from Los Angeles, California to Port Klang West, Malaysia in violation of 46 U.S.C. § 41102(a). AIM's misdeclaration resulted in the containers being held by Malaysian customs authorities and caused the ocean carrier who transported the containers, CMA CGM, to assess a \$70,000 misdeclaration

fee against Priva. To date, AIM has not made payment to Priva for the misdeclaration charges, which remain outstanding and owed to CMA CGM. Priva's Counterclaim seeks to recover these amounts as well as the damages incurred as a direct result of AIM's cargo misdeclaration.

1. Priva and AIM's Business Relationship

By way of background, AIM and Priva conducted business with one another for several years prior to this lawsuit. AIM frequently utilized Priva's services to arrange for the shipment of metal materials internationally and AIM had been a credit customer of Priva since 2021. Being a "credit customer" meant AIM had 30 days to pay freight charges after they were due, whereas "cash customers" were required to pay all charges before requesting a freight release. On May 21, 2021, AIM executed a "Letter of Guarantee and Indemnity" ("LOI") with Priva for transportation services. The LOI lays out the general terms, conditions, and obligations between the Parties for Priva's services. Included in AIM's obligations under the LOI is the duty to ensure that the cargo "either has been or will be correctly declared..." and AIM's agreement to "indemnify PRIVA LOGISTICS and...guarantee and pay for any and all loss, damage, or expense including, but not limited to demurrage & detention, storage, destination fees, port charges, collect surcharges, disposal fees, re-export charges, customs penalties, and related charges at the port of discharge caused by and delay or failure of the consignee to take delivery of the Cargo within the agreed free time."

At the oral hearing ("Hearing") Priva anticipates AIM will assert that the LOI does not apply to it on the grounds that the LOI was executed by a company called "American Iron & Metal Company USA Inc." ("AIM USA"), not AIM. The evidence, however, will show that for all factual and legal purposes AIM USA and AIM were indistinguishable entities in relation to their business

dealings with Priva. Indeed, the employee who signed the LOI on behalf of AIM USA, Katherine Serrato, physically worked in AIM's Montreal headquarters in the same office space as AIM's logistics department. Ms. Serrato had the same email address domain name as AIM's employees ("@aim-global.com") and was a party to email communications between Priva and AIM concerning AIM's shipments and accounts. AIM and AIM USA also have identical logos, and maintain a recycling yard in Colton, California, where some of the containers at issue were loaded.

2. Priva's § 41102(a) Claim - AIM's Misdeclaration of the Malaysia Shipments

The genesis of this entire dispute began in January 2024. At that time, AIM requested that Priva generate two bookings, each for ten (10) containers, for transportation from Los Angeles, California to Port Klang West, Malaysia (the "Malaysia Shipments"). AIM provided shipping instructions for the bookings to Priva, which described the cargo being shipped as "aluminum alloy." Priva then provided AIM with two CMA CGM bills of lading under booking numbers NAM6677014 and NAM6677015 for the twenty containers. The bills of lading reflected the cargo description requested by AIM, "aluminum alloy." The Malaysia Shipments sailed from Los Angeles and arrived in Port Klang West where the containers were discharged from the vessel on March 30, 2024.

Upon their arrival, the containers were subject to inspection and customs hold by Malaysian customs authorities. Despite Priva asking AIM multiple times to have the consignees pick up the containers, AIM's consignees did not retrieve the containers. AIM's consignee for the ten containers shipped under booking number NAM6677014 attempted to pick up the containers by presenting the sea waybill at Port Klang West. The sea waybill had been sent by AIM directly to its consignee. AIM's consignee was turned away, however, because the cargo description on

the sea waybill had been altered to include a declaration for “aluminum scrap” in addition to the “aluminum alloy” description originally requested by AIM. As a result, the containers remained in Port Klang West, presumed to be abandoned. In due course, CMA CGM issued two lien notices for the NAM6677014 containers. Then, on February 24, 2025, CMA CGM issued Invoice Number NAEC0163666 to Priva for the NAM6677014 containers’ “Misdeclaration or Non Compliance with BL Clauses” (the “Misdeclaration Invoice”). The amount due under the Misdeclaration Invoice was \$70,000.

Priva sought additional information from CMA CGM concerning the basis for the misdeclaration charge and notified AIM of the charges. AIM contested the misdeclaration charge directly with CMA CGM. Thereafter, CMA CGM reported that upon inspection, it was discovered that the NAM6677014 containers were loaded with aluminum flakes/scraps, not aluminum alloy as was declared by AIM, and that the scrap cargo was non-compliant with the Basel Convention. Accordingly, CMA CGM explained that the Misdeclaration Invoice remained valid as issued, due to the misdeclaration of the cargo and the discrepancy between the original bill of lading and the sea waybill presented by AIM’s consignee. AIM refused to pay the amounts owed for the Misdeclaration Invoice and, instead, disclaimed any responsibility for the charges. To date, all twenty of the containers shipped under booking numbers NAM6677014 and NAM6677015 remain in Port Klang West, constructively abandoned by AIM and its consignees, accruing demurrage charges by the day which will have to be accounted for.

Purchase invoices and packing lists issued by AIM to its consignees for the sale of the materials within the Malaysia containers describes the product sold to AIM’s customers as “zorba.” Open-source reporting defines zorba as “shredded non-ferrous scrap with predominantly

aluminum content” that “often comes with aluminum and copper dust, which are regarded as hazardous waste.” AIM’s corporate representative, Mark Hudson, testified that the difference between zorba and aluminum alloy is that zorba is shredded and an alloy is comprised of several metals melted together. During his deposition, Mr. Hudson was shown pictures of the materials within the Malaysia containers taken at the time of loading. Mr. Hudson testified that the materials were “shredded aluminum alloy.” Mr. Hudson further testified that the varied coloration between the pieces of shredded material in the container was due to pieces of brass or copper, called “reds”, mixed in with pieces of aluminum. Mr. Hudson testified that the material in the container was nonetheless aluminum alloy because “[t]he material is for remelting, so it would constitute an alloy when melted.” When asked “if the aluminum and the reds are separate and apart from one another, can the commodity as a whole be declared aluminum alloy?”, Mr. Hudson responded, “Yes. [Q: And why is that?] Because you’re asking for my opinion and my opinion is yes.”

The difference between aluminum scrap and aluminum alloy is important for cargo declaration purposes. In addition to their distinct descriptions, aluminum scrap and aluminum alloy are assigned different numeric codes under the Harmonized System Codes (“HS Codes”). Mr. Hudson testified that the HS Codes are used to designate the material being shipped. Under the HS Codes, aluminum alloy is assigned the numeric code 7601.20, and aluminum scrap is assigned 7602. Despite the important role of HS Codes in cargo declarations, Mr. Hudson testified that no employee of AIM had any form of training on how to interpret or use the HS Codes when declaring cargo. Mr. Hudson further testified that when AIM arranges for the shipment of metal materials, its customers will provide the applicable HS Code for cargo declaration purposes and then AIM will “look at what’s required and we make sure that the HS code that’s being requested or required

is fair and reasonable.” In relation to the Malaysia Shipments, Mr. Hudson testified that other than emailing its consignees the draft shipping instructions and bills of lading to verify the accuracy of the cargo descriptions and HS Codes, AIM took no further action to ensure the cargo declarations were correct.

The testimony of Mr. Hudson described above supports the conclusion that the material in the Malaysia containers was aluminum scrap, not aluminum alloy. Indeed, Mr. Hudson testified that the primary distinction between zorba and aluminum alloy is that zorba is shredded and alloys are comprised of several metals that have been melted together. To this point, beyond offering his own opinion, Mr. Hudson could not explain why the materials in the Malaysia containers could be declared as aluminum alloy where the pre-loading pictures show discrete pieces of other types of metal mixed in with the aluminum. Mr. Hudson’s testimony further demonstrates AIM’s awareness of the differences between aluminum scrap and alloy and the existence of distinct HS Codes for each material.

3. AIM’s Cargo Misdeclaration Has Caused Actual Injury to Priva and Poses a Continued Threat of Additional Liabilities for Priva

Following CMA CGM’s issuance of the Misdeclaration Invoice, Priva’s employees expended considerable company hours communicating with CMA CGM and AIM in effort to resolve the issues created by AIM’s cargo misdeclaration. CMA CGM also threatened the viability of Priva business operations with the ocean carrier in that it stated that a hold would be placed on Priva’s account and no longer accept bookings from Priva because of the outstanding Misdeclaration Invoice. These administrative expenses and reputational harms incurred by Priva represent actual injury caused by AIM’s violations of the Shipping Act. On March 22, 2025, Priva sent an invoice to AIM totaling \$100,000 for the \$70,000 misdeclaration fee owed to CMA CGM

and \$30,000 for Priva's own administrative expenses caused by AIM's misdeclaration. Still, AIM did not accept responsibility for its misdeclaration or make Priva whole. After months of trying to resolve the issue, Priva notified AIM that beginning on June 30, 2025, Priva would be instituting an additional administrative fee of \$35 per day on each of the containers to account for Priva's ongoing administrative expenses. At Hearing, the Presiding Officer will hear the testimony of Priyanka Dutta, owner of Priva, detailing Priva's efforts, administrative expenses, and the impact of AIM's actions on Priva's reputation, which will justify a reparations award for these injuries under 46 U.S.C. § 41305.

4. AIM's Refusal to Accept Responsibility for Its Own Wrongdoings Leaves Priva on the Hook for the Misdeclaration Charges Owed to CMA CGM

When AIM refused to be accountable for the payment of the Misdeclaration Invoice, Priva was forced to protect itself from a commercial and economic standpoint. Accordingly, Priva placed AIM's credit account on an administrative hold due to the unresolved payments owed to Priva. At that time, AIM had two shipments that were arranged by Priva in transit under booking numbers NAM7478044 and 28435995. Booking NAM7478044 concerned five containers laden with aluminum scrap being shipped with CMA CGM from Long Beach, California, to Ancora, Italy. Booking 28435995 concerned three containers laden with metal scrap being shipped with Hapag-Lloyd from Los Angeles, California, to Mundra, India. Priva's administrative hold on AIM's credit account meant that the release of the sea waybills for these shipments would not be processed until AIM's account was made current.

The containers bound for India were not impacted by Priva's administrative hold on AIM's credit account. Rather, AIM picked up the containers without incurring any demurrage charges

and, as such, AIM has not sustain any damages in relation to the India containers or alleged any injury for the India Shipment in this case.

The containers shipped to Ancora, Italy, were discharged at the port on June 14, 2025. Demurrage on the Italy containers began accruing on June 28, 2025 and continued through July 24, 2025. The total demurrage assessed against the Italy containers during this timeframe was 18,902 Euros. AIM contends that this amount equates to approximately \$21,000 USD under the applicable exchange rate.

The demurrage charges on the Italy containers represent the total amount of reparations AIM seeks to recover from Priva and form the basis of AIM's claims against Priva in this proceeding. AIM alleges that Priva wrongfully withheld the sea waybills and, thus, delayed AIM's consignee from picking up its cargo in Ancora. The fatal flaw of AIM's position, however, is that it fails to recognize the root cause of the demurrage charges – AIM's cargo misdeclaration of the Malaysia Shipments and its refusal to accept accountability for its own actions.

Despite AIM's refusal to accept responsibility for its misdeclaration and pay the Misdeclaration Invoice, Priva voluntarily released the sea waybills to AIM in July 2025. It was discovered thereafter, however, that AIM had decided to impermissibly contact CMA CGM directly to obtain the original bills of lading from the ocean carrier. There is no contractual relationship between CMA CGM and AIM. Priva did not authorize AIM to contact CMA CGM to request the original bills of lading and was unaware that such communications were taking place until after the fact. During Mr. Hudson's deposition, he testified that in the normal course of business it would be inappropriate and against industry standards for a shipper, like AIM, to go around its NVOCC to deal directly with the ocean carrier. Mr. Hudson testified that it would only

be appropriate for a shipper to circumvent its NVOCC where the NVOCC was “uncommunicative,” “not available,” or had “ceased business.” Mr. Hudson then admitted that there were communications between Priva and AIM at the time and that Priva was still in business. Mr. Hudson also testified that “in this particular case...we did not seek Priva’s approval to contact CMA.”

5. AIM’s § 41102 Claims Fail as a Matter of Law and Should be Denied

AIM’s claims against Priva are unsupported by the facts of this case. AIM has asserted Priva violated § 41102(c) of the Shipping Act and 46 C.F.R. § 545.4 by withholding the sea waybill for the Italy shipment. Based on the evidence and testimony discussed above, however, AIM is unable to satisfy several essential elements under § 41102(c). Mr. Hudson testified during his deposition that the Italy shipment was the only instance where Priva withheld a bill of lading from being released causing AIM to incur demurrage and storage charges. Based on Mr. Hudson’s testimony, AIM cannot show that Priva’s conduct was a “practice” that occurred on a “normal, customary, and continuous basis” as required by the Shipping Act. 46 C.F.R. § 545.4(b); 46 U.S.C. § 41102(c). In the absence of showing that Priva’s actions constituted a “practice,” the remaining elements of a § 41102(c) claim necessarily fall. *See* 46 C.F.R. § 545.4(c)-(e) (considering the “practice or regulation” of the respondent). Even assuming Priva’s conduct qualifies as a “practice” under the law, however, AIM cannot show that Priva’s conduct was “unjust or unreasonable” as required by 46 C.F.R. § 545.4(d). On the contrary, Priva’s actions were a necessary and warranted defensive effort to protect itself from significant financial exposure due to AIM’s intentional cargo misdeclaration in violation of the Shipping Act and in breach of the LOI. Accordingly, AIM’s § 41102(c) claims fail as a matter of law.

AIM did not specifically plead a claim under § 41102(d) in its Complaint. Dkt. 1. AIM now asserts the claim for the first time in this filing and, as such, Priva objects to this claim, which is not properly before the Presiding Officer and should not be heard at Hearing. Regardless of whether the claim survives, it fails as a matter of law because AIM is unable to show the essential elements of § 41102(d) that Priva engaged in prohibited conduct because of any protected activity as required. See *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrtsgesellschaft A/S & Co.*, Docket No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *33 (ALJ June 7, 2023) (aff'd, 2024 WL 4034610 (FMC Aug. 27, 2024)). Priva's hold on AIM's account was reasonable, justified, and necessary under the circumstances, not the type of prohibited conduct contemplated by the statute. AIM had also not engaged in any protected activity when Priva's hold went into effect. No complaint had been filed against Priva with the Federal Maritime Commission and Priva's hold was not the result of AIM patronizing another carrier. 46 U.S.C. § 41102(d)(2)(A)(i)-(ii). Accordingly, to the extent AIM's § 41102(d) claim is "live" in this litigation, it should be denied.

6. AIM's § 41104(a) Claims Fail as a Matter of Law and Should be Denied

AIM's claims under § 41104(a)(10), (14), and (15) are equally unavailing under the facts presented. Section 41104(a)(10) concerns unreasonable refusals to deal or negotiate. The rule contemplates situations where a common carrier "shuts out" a person for reasons having no relation to legitimate transportation-related factors. See *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 2002 WL 33836158, at *5 (FMC June 28, 2002), *aff'd sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. App'x 681 (D.C. Cir. 2003). Here, Priva did not "shut out" AIM. Rather, Priva and was engaged in constant

communications with AIM and the ocean carriers about the Malaysia Shipments, the Misdeclaration Invoice, and AIM's other shipments. Priva also voluntarily released the sea waybills for the Italy and India Shipments, even despite AIM's refusal to pay the Misdeclaration Invoice. Priva's hold on AIM's account was also reasonable and justified under the circumstance. Indeed, if any party was refusing to negotiate, it was AIM. Mr. Hudson testified in his deposition that AIM never offered to pay the Misdeclaration Invoice before attorneys got involved in this dispute. For all these reasons, AIM's § 41104(a)(10) claims fail.

AIM did not specifically plead claims under §§ 41104(a)(14)-(15) or 46 C.F.R. § 515.32(d) in its Complaint. Dkt. 1. As such, Priva objects to these claims being asserted at this time. They are not properly before the Presiding Officer and should not be heard at Hearing. Nonetheless, Priva addresses these claims subject to its objection. Section 41104(a)(14) prohibits a common carrier from assessing "a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations." 46 U.S.C. § 41104(a)(14). Here, Priva has assessed charges against AIM directly related to its failure to properly declare the cargo in the Malaysia Shipments and in accordance with the LOI executed by AIM. The charges represent actual liabilities and injuries incurred by Priva as a result of AIM's Shipping Act violations and, as explained above, they are justified and reasonable. AIM's alleged § 41104(a)(15) claims fail as a matter of law because Priva did not invoice any demurrage or detention charges to AIM as required by the rule. Similarly, AIM's claim under 46 C.F.R. § 515.32(d) is inapplicable because the regulation only applies to ocean freight forwarders and Priva acted as an NVOCC for the shipments at issue. *See Persimmon*

Augst v. Transparent Logistics LLC dba Transparent International, Docket No. 2028(I), (SCO Feb. 27, 2026), pp. 24-25.

7. For Priva, This Case Represents So Much More Than a Commercial Dispute

Underpinning this entire case is the notion of fundamental fairness. The very purpose of the Shipping Act is to protect participants in the ocean transportation system from being taken advantage of by other participants. The evidence here shows that AIM knowingly and willfully engaged in impermissible behavior. When AIM got caught, it refused to take responsibility and instead thrust its liabilities onto Priva who was unfortunately caught in the middle. What is more, the total impact of AIM's conduct is yet unknown. The Malaysia containers are still sitting idle in Port Klang West, accruing demurrage and subject to re-export charges or other fees in the future. Based on estimates provided by CMA CGM on November 19, 2025, the potential demurrage charges on the Malaysia containers totaled \$1,125,782. This notice by CMA CGM is not being claimed in this case because no invoice has been issued. These potential charges, however, loom over large over Priva. CMA CGM will inevitably demand Priva address these damages to collect these charges once the fate of these containers are determined. While Priva did not commence this FMC proceeding, its counterclaim is critical because of the potential seven-figure liabilities Priva faces for AIM's conduct, let alone the reputational harm caused by the allegations AIM cannot substantiate.

AIM cannot be allowed to conveniently rinse its hands clean of its own wrongdoings while exploiting Priva's position as the NVOCC in this situation. Doing so would violate both the letter and spirit of the Shipping Act.

II. Stipulated Facts.

1. Claimant, American Iron & Metal Company Inc., is a Canadian corporation engaged in the recycling and processing of scrap metal. AIM is headquartered in Montreal, Quebec, with its principal place of business located at 9100 Henri-Bourassa Est, Montreal, QC H1E 2S4, Canada.
2. Respondent and Counter Complainant, Priva Logistics Inc., (“Priva”) is a corporation organized under the laws of the State of New York and is licensed to operate as a non-vessel-operating common carrier, FMC License Number 025540, with its principal place of business at 183 South Broadway Street, Suite 212, in Hicksville, New York, 11801.
3. This matter involves the following Booking Numbers:
 - a. NAM6677014, from Los Angeles, California, to Port Klang West, Malaysia.
 - b. NAM6677015, from Los Angeles, California, to Port Klang West, Malaysia (collectively with Booking No. NAM6677014, the “Malaysia Shipments”).
 - c. NAM7478044, from Long Beach, California to Ancona, Italy.
 - d. 28435995, from Los Angeles, California to Mundra, India.
4. AIM engaged Priva to make transportation arrangements with respect to each of the aforementioned bookings.

5. In January of 2024, AIM requested that Priva generate two bookings, each for transportation of ten containers from Los Angeles, California, to Port Klang West, Malaysia.
6. Priva generated the two bookings with Booking Numbers, NAM6677014 and NAM6677015, in response.
7. In January and February of 2025, AIM requested that Priva generate two bookings for transportation of containers. The first was for transportation of five containers from Long Beach, California, to Ancona, Italy. The second was for transportation of one container from Los Angeles, California to Mundra, India.
8. Priva generated two Booking Nos. NAM7478044 and 28435995, in response.

Pursuant to the governing scheduling order, the parties have communicated and conferred in a good faith effort to reach stipulations of fact to the fullest extent possible.

III. Facts In Dispute.

A. For AIM:

1. AIM disputes that it has any liability to Priva for the claims that Priva asserted in this matter including that it obtained or attempt to obtain transportation for property at less than the properly applicable rates, by any “unjust or unfair device or means.”
2. Priva cannot establish the necessary elements of a claim under 46 U.S.C §41102(a) as Priva has no evidence that AIM obtained or attempted to obtain

transportation for property at less than the properly applicable rates, by any “unjust or unfair device or means.”

3. Priva’s claim fails at every level. First, AIM did not knowingly and willfully engage in false, deceptive or unjust or unfair conduct.
4. Second, AIM did not provide any “false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means” to obtain or attempt to obtain the ocean transportation of property at less than rates or charges.
5. Third, AIM did not obtain ocean transportation for less than rates or charges.
6. As Priva’s corporate representative made clear, this dispute relates to a misdeclaration charge and the potential—and speculative assessment—of demurrage and detention charges. Priva concedes that this matter does not involve a dispute regarding transportation for less than rates or charges.
7. Relatedly, Priva has not produced any documents or proffered any evidence that AIM obtained less than rates or charges that would apply for Book Nos. NAM6677014 and NAM6677015.
8. At the time of booking, both Priva and AIM disclosed to the ocean carrier, CMA that the transportation was for “Waste and scrap, of aluminium” which is reflected in the booking confirmations for both shipments.
9. To date, CMA has not assessed any charge that reflects it provided transportation for less than rates or charges that would otherwise apply.

10. AIM disputes the alleged misdeclaration charge was correctly assessed or timely disclosed. In fact, CMA never assessed as a misdeclaration charge for the second Malaysia shipment.
11. To the extent Priva claims that the misdeclaration charge is related to the Harmonized System Code (“HS Code”) and description in the bill of lading—which AIM disputes—AIM used the proper designation based on the commodity being shipped.
12. Priva failed to properly dispute the alleged misdeclaration charge or timely provide them to AIM. CMA took nearly a year to issue its misdeclaration invoice.
13. AIM disputes that any misdeclaration charge or alleged cargo hold related to bookings NAM6677014 and NAM6677015 are proper or related to HS codes.
14. Priva has not paid any misdeclaration charge for the Malaysia Shipments and has no basis to seek that amount from AIM.
15. AIM disputes the legal and factual foundation for any alleged damages Priva seeks to recover in this matter.
16. According to Priva, its administrative damages include the time it spent during this lawsuit such as preparing for and participating in Priva’s corporate deposition, which are not recoverable.
17. Priva’s “administrative charges” were never disclosed to AIM prior to the transportation of the Malaysia Shipments, are not contained in an fee schedule or tariff.

18. To date, Priva has failed to produce a single document that demonstrates how it calculated its “administrative charges” Instead, Priva calculated them through guesswork and speculation.
19. With respect to its \$35.00 per container per day charge and its monthly interest of 1.5% on all charges, Priva also failed to disclose those fees prior to transportation of the Malaysia Shipments and are also not contained in a fee schedule or tariff
20. AIM further disputes legal and factual foundation for any alleged damages Priva seeks to recover in this matter.

B. For Priva:

1. Priva disputes that it violated the Shipping Act or FMC Regulations, including 46 U.S.C. §§ 41102 & 41104 and 46 C.F.R. §§ 515.32(d) & 545.1 – 545.5, as alleged by AIM.
2. Priva disputes that it improperly withheld the sea waybills related to Booking Numbers NAM7478044 for the containers bound for Italy and 28435995 for the containers bound for India as alleged by AIM.
3. Priva disputes that it assessed any demurrage or detention charges against AIM, as alleged.
4. Priva disputes that its complained-of actions occurred on a normal, customary, or continuous basis, as alleged by AIM.
5. Priva disputes that its action caused, in whole or in part, the damages AIM alleges to have sustained.

6. Whether AIM violated the Shipping Act and FMC Regulations, including 46 U.S.C. § 41102(a) and 46 C.F.R. § 545.2, when it misdeclared the cargo for the Malaysia Shipments.
7. Whether AIM sustained any damages as a result of Priva's acts as alleged by AIM.
8. Whether AIM failed to mitigate its damages, if any, in whole or in part

IV. Witnesses and exhibits by which disputed facts will be litigated.

For AIM:

A. AIM Witnesses, not including witnesses for impeachment or rebuttal:

1. Mark Hudson, former Vice President of Logistics for AIM.

B. AIM Exhibits

1. AIM Sales Contracts (AIM_000267 – 000269).
2. January 29, 2024, Email Thread and Booking Confirmations (AIM_000509-000517)
3. February 13, 2024, Email Thread (AIM_000158-000160).
4. February 14, 2024, Email Thread (AIM_000111-000115).
5. Packing List (AIM_000209-000212).
6. Sales Invoice (AIM_000185-000190).
7. NAM6677015 Bill of Lading (AIM_000194-000197).
8. NAM6677014 Bill of Lading (AIM_000270-000273).
9. CMA CGM Letters (Priva_00544-00546).
10. August 1, 2024, Email Thread (AIM_000163-000174).
11. Misdeclaration Invoice (AIM_000080).

12. March 22, 2025, Priva Invoice (PRIVA_00002).
13. March 25, 2025, Email Thread (PRIVA_00681).
14. March 25, 2025, Email Thread (AIM_000116-000157).
15. April 1, 2025, Email Thread (PRIVA_00203-00208).
16. April 2, 2025, Email Thread (AIM_000175-000184).
17. Security Deposit Demand (AIM_000624-000625).
18. April 8, 2025, Email Thread (PRIVA_00297-00309).
19. May 7, 2025, Email Thread (AIM_000518-000535).
20. April 14, 2025, Roberts & Kehagiaras Letter (AIM_000627-000625).
21. June 10, 2025 Email Thread (PRIVA_00776-00778).
22. June 9, 2025, Email Thread (AIM_000274-000293).
23. June 23, 2025, Email Thread (AIM_000023-000028).
24. June 26, 2025, Email (PRIVA_00003).
25. July 22, 2025, FMG D&D Invoice (AIM_00001).
26. July 22, 2025, CMA D&D Invoice (AIM_00002).
27. July 22, 2025, Email Thread (PRIVA_00365-00377).
28. July 28, 2025, Email Thread (AIM_000213-000235).
29. August 25, 2025, Email Thread (AIM_000296-000307).
30. Credit Note (AIM_000294-000295).
31. American Iron & Metal USA, Inc. Certificate of Good Standing
(AIM_000711).

32. American Iron & Metal Company Inc. Certificate of Compliance (AIM_000719).
33. Bill of Lading (AIM_000542-000545).
34. November 14, 2025, Corporate Deposition Notice Directed to Priva.
35. Priva's Responses to Requests for Admission (October 14, 2025).
36. Priva's Responses to Requests for Production (October 14, 2025).
37. Priva's Answers to Interrogatories (October 14, 2025).
38. February 25, 2026, Email Thread (AIM_000743-AIM000745).
39. February 25, 2026, Email Thread (AIM_000722-AIM000725).
40. February 25, 2026, Email Thread (AIM_000746-AIM000756).

Copies of AIMS exhibits will be found in AIM's Appendix, which will be filed separately. AIM reserves the right to rely upon any document that may become relevant for impeachment or rebuttal purposes although not otherwise disclosed above. AIM further reserves the right to rely upon, and incorporates by referenced into this disclosure, any and all deposition exhibits as may be referenced in any unobjectionable deposition designation, counter-designation, and/or rebuttal designation. Any unobjectionable exhibit listed by respondent may also be relied upon. AIM further reserves the right to supplement this list in response to any disclosures by any other party or any witness testimony that renders additional exhibits relevant and/or necessary for rebuttal, refreshment of recollection, context or completeness.

C. AIM's Objections to Priva's Exhibits or Deposition Testimony.

Exhibit	Objection(s)
1. Invoice No. NAEC0163666 (PRIVA_00001)	• Foundation • Relevance • Hearsay

	• Prejudice/Confusion outweighs probative value
2. Invoice No. 20040 (PRIVA_00002)	• Foundation • Relevance • Hearsay
3. June 26, 2025 Email (PRIVA_00003)	
4. AIM Corporate Brochure (PRIVA_00004-00027)	• Foundation • Relevance • Hearsay • Prejudice/Confusion outweighs probative value
5. Fastmarkets Article (PRIVA_00028-00031)	• Foundation • Relevance • Hearsay • Improper Opinion/Calls for a legal opinion/expert testimony • Prejudice/Confusion outweighs probative value
6. Fastmarkets Article (PRIVA_00032-00034)	• Foundation • Relevance • Hearsay • Improper Opinion/Calls for a legal opinion/expert testimony • Prejudice/Confusion outweighs probative value
7. Global PCCS Article (PRIVA_00035-00040)	• Foundation • Relevance • Hearsay • Improper Opinion/Calls for a legal opinion/expert testimony • Prejudice/Confusion outweighs probative value
8. E-Scrap News Article (PRIVA_00041-00042)	• Foundation • Relevance • Hearsay • Improper Opinion/Calls for a legal opinion/expert testimony

	• Prejudice/Confusion outweighs probative value
9. Recycling Today Article (PRIVA_00043-00048)	• Foundation • Relevance • Hearsay • Improper Opinion/Calls for a legal opinion/expert testimony • Prejudice/Confusion outweighs probative value
10. March 25, 2025 Email Thread (PRIVA_00179-00202)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
11. April 1, 2025 Email Thread (PRIVA_00203-00208)	• Hearsay • Foundation • Relevance • Prejudice/Confusion outweighs probative value
12. April 2, 2025 Email Thread (PRIVA_00209-00213)	• Hearsay • Foundation • Prejudice/Confusion outweighs probative value • Cumulative evidence
13. April 2, 2025 Email Thread (PRIVA_00214-00220)	• Hearsay • Foundation • Prejudice/Confusion outweighs probative value • Cumulative evidence
14. April 2, 2025 Email Thread (PRIVA_00221-00231)	• Hearsay • Foundation • Cumulative Evidence • Prejudice/Confusion outweighs probative value
15. April 2, 2025 Email Thread (PRIVA_00232-00238)	• Hearsay • Foundation • Prejudice/Confusion outweighs probative value

16. April 2, 2025 Email Thread (PRIVA_00239-00252)	• Hearsay • Foundation • Prejudice/Confusion outweighs probative value
17. April 3, 2025 Email Thread (PRIVA_00253-00260)	• Hearsay
18. April 4, 2025 Email Thread (PRIVA_00261-00270)	• Hearsay • Foundation • Relevance • Cumulative evidence • Prejudice/Confusion outweighs probative value • Incomplete Document
19. April 8, 2025 Email Thread (PRIVA_00297-00315)	• Hearsay • Foundation • Relevance • Cumulative evidence • Prejudice/Confusion outweighs probative value • Incomplete Document
20. Malaysia Shipment Cargo Loading Pictures (PRIVA_00345-00364)	
21. July 22, 2025 Email Thread (PRIVA_00365-00377)	
22. July 22, 2025 Email (PRIVA_00378)	
23. NAM7478044 Original Bills of Lading and July 18, 2025 Profilglass Letter (PRIVA_00391-00409)	
24. August 12, 2024 Email Thread and attached NAM6677015 Sea Waybill (PRIVA_00410-00432)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay

25. July 18, 2025 Email Thread (PRIVA_00433-00436)	
26. February 20, 2024 Email Thread and attached NAM6677015 Draft Bill of Lading (PRIVA_00438-00452)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
27. March 27, 2025 Email Thread (PRIVA_00465-00475)	• Hearsay • Foundation
28. March 26, 2025 Email Thread (PRIVA_00476-00543)	• Hearsay • Foundation • Cumulative Evidence • Prejudice/Confusion outweighs probative value
29. CMA CGM Letters (PRIVA_00544-00546)	• Hearsay • Foundation • Authentication
30. March 25, 2025 Email Thread (PRIVA_00547-00609)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
31. NAM6677014 Draft Bill of Lading (PRIVA_00610-00613)	
32. March 26, 2025 Email Thread (PRIVA_00618-00648)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay

33. April 17, 2024 Email Thread (PRIVA_00665-00678)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
34. March 25, 2025 Email Thread (PRIVA_00679-00702)	• Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
35. March 28, 2025 Email Thread (PRIVA_00702-00704)	• Incomplete document • Hearsay • Foundation
36. January 29, 2024 Email Thread and NAM6677014 Booking Confirmation (PRIVA_00756-00761)	
37. January 29, 2024 Email Thread and NAM6677015 Booking Confirmation (PRIVA_00762-00767)	
38. March 22, 2024 Email Thread and attached NAM6677014 Sea Waybill (PRIVA_00770-00775)	
39. Malaysian Customs Letter and attached NAM6677014 Sea Waybill (PRIVA_00842-00847)	• Not in English or verified per 46 C.F.R. § 502.7 • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
40. Letter of Guarantee and Indemnity (PRIVA_00848)	• Prejudice/Confusion outweighs probative value • Relevance • Foundation

41. November 17, 2025 Email Thread (PRIVA_00849-00852)	• Hearsay • Prejudice/Confusion outweighs probative value • Relevance • Foundation
42. November 19, 2025 Email Thread (PRIVA_00853-00856)	• Hearsay • Prejudice/Confusion outweighs probative value • Relevance • Foundation
43. August 2, 2024 Email Thread (PRIVA_00857-00858)	• Prejudice/Confusion outweighs probative value • Relevance • Foundation
44. December 5, 2023 Email (PRIVA_00859)	• Prejudice/Confusion outweighs probative value • Relevance • Foundation
45. HS Codes from U.S. Census Bureau (PRIVA_00860-00870)	• Incomplete document
46. AIM_000072-000517	• Multiple documents • Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
47. AIM_000529-000597	• Multiple documents • Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
48. AIM_000712-000718	

49. February 25, 2026 Email Thread (AIM_000743-000745)	• Hearsay • Foundation
50. The notice and transcript of the deposition of Mark Hudson taken in this matter and the exhibits thereto.	• With respect to Exhibits: • Exhibit 2: ○ Cumulative ○ Prejudice/Confusion outweighs probative value ○ Relevance ○ Foundation • Exhibit 4: ○ Cumulative evidence ○ Partial document ○ Prejudice/Confusion outweighs probative value
51. AIM's responses to written discovery, including the associated document production.	With respect to the "associated document production": • Multiple documents • Cumulative evidence • Prejudice/Confusion outweighs probative value • Relevance • Foundation • Hearsay
52. AIM Initial Disclosures.	
53. Any document needed to authenticate any exhibit.	
54. Any document needed for impeachment purposes.	
55. Any exhibit listed on AIM's Exhibit List.	

With respect to Priva exhibits identified at Nos. 46, 47 and 51, they account for almost the entirety of AIM's document production and contain duplicative documents that both AIM and Priva have designated as exhibits. While AIM recognizes that governing scheduling order requires the attachment of exhibits to which there are objections, AIM maintains that Priva should properly designate its exhibits individually and without unnecessary duplication for

purposes of judicial economy. Should Your Honor require AIM to file the over five hundred pages Priva identified, it will obviously do so.

For Priva:

A. Priva's Witnesses: Priva intends to call Priyanka Dutta, owner of Priva to testify at Hearing.

B. Priva's Exhibit List:

1. Invoice No. NAEC0163666 (PRIVA_00001)
2. Invoice No. 20040 (PRIVA_00002)
3. June 26, 2025 Email (PRIVA_00003)
4. AIM Corporate Brochure (PRIVA_00004-00027)
5. Fastmarkets Article (PRIVA_00028-00031)
6. Fastmarkets Article (PRIVA_00032-00034)
7. Global PCCS Article (PRIVA_00035-00040)
8. E-Scrap News Article (PRIVA_00041-00042)
9. Recycling Today Article (PRIVA_00043-00048)
10. March 25, 2025 Email Thread (PRIVA_00179-00202)
11. April 1, 2025 Email Thread (PRIVA_00203-00208)
12. April 2, 2025 Email Thread (PRIVA_00209-00213)
13. April 2, 2025 Email Thread (PRIVA_00214-00220)
14. April 2, 2025 Email Thread (PRIVA_00221-00231)
15. April 2, 2025 Email Thread (PRIVA_00232-00238)
16. April 2, 2025 Email Thread (PRIVA_00239-00252)
17. April 3, 2025 Email Thread (PRIVA_00253-00260)
18. April 4, 2025 Email Thread (PRIVA_00261-00270)
19. April 8, 2025 Email Thread (PRIVA_00297-00315)
20. Malaysia Shipment Cargo Loading Pictures (PRIVA_00345-00364)
21. July 22, 2025 Email Thread (PRIVA_00365-00377)
22. July 22, 2025 Email (PRIVA_00378)

23. NAM7478044 Original Bills of Lading and July 18, 2025 Profilglass Letter (PRIVA_00391-00409)
24. August 12, 2024 Email Thread and attached NAM6677015 Sea Waybill (PRIVA_00410-00432)
25. July 18, 2025 Email Thread (PRIVA_00433-00436)
26. February 20, 2024 Email Thread and attached NAM6677015 Draft Bill of Lading (PRIVA_00438-00452)
27. March 27, 2025 Email Thread (PRIVA_00465-00475)
28. March 26, 2025 Email Thread (PRIVA_00476-00543)
29. CMA CGM Letters (PRIVA_00544-00546)
30. March 25, 2025 Email Thread (PRIVA_00547-00609)
31. NAM6677014 Draft Bill of Lading (PRIVA_00610-00613)
32. March 26, 2025 Email Thread (PRIVA_00618-00648)
33. April 17, 2024 Email Thread (PRIVA_00665-00678)
34. March 25, 2025 Email Thread (PRIVA_00679-00702)
35. March 28, 2025 Email Thread (PRIVA_00702-00704)
36. January 29, 2024 Email Thread and NAM6677014 Booking Confirmation (PRIVA_00756-00761)
37. January 29, 2024 Email Thread and NAM6677015 Booking Confirmation (PRIVA_00762-00767)
38. March 22, 2024 Email Thread and attached NAM6677014 Sea Waybill (PRIVA_00770-00775)
39. Malaysian Customs Letter and attached NAM6677014 Sea Waybill (PRIVA_00842-00847)
40. Letter of Guarantee and Indemnity (PRIVA_00848)
41. November 17, 2025 Email Thread (PRIVA_00849-00852)
42. November 19, 2025 Email Thread (PRIVA_00853-00856)
43. August 2, 2024 Email Thread (PRIVA_00857-00858)
44. December 5, 2023 Email (PRIVA_00859)
45. HS Codes from U.S. Census Bureau (PRIVA_00860-00870)
46. AIM Discovery Document Production (AIM_000072-000517)
47. AIM Discovery Document Production (AIM_000529-000597)
48. July 21, 2025 Email Thread (AIM_000712-000718)

49. February 25, 2026 Email Thread (AIM_000743-000745)
50. The Deposition Notice of Mark Hudson, personally and as AIM's corporate representative, taken in this matter and the Deposition Exhibits attached to his deposition.
51. AIM's responses to written discovery, including the associated document production.
52. AIM's Initial Disclosures.
53. Any document needed to authenticate any exhibit.
54. Any document needed for impeachment purposes.
55. Any exhibit listed on AIM's Exhibit List.

C. Priva's Objections to AIM Exhibits:

Priva objects to the following exhibits listed on AIM's Exhibit List:

1. Exhibit 20 – April 14, 2025, Roberts & Kehargiaras LLP Letter (AIM_000627-000629). Objection: This exhibit is not relevant, is unauthenticated, lacks foundation, and is hearsay. This letter was presumably written by one of AIM's former attorneys involved in this matter. No witness has identified or authenticated this document. Moreover, this letter is a settlement proposal that is strictly inadmissible under 46 C.F.R. § 502.75(c).
2. Exhibit 23 – June 23, 2025, Email Thread (AIM_000023-000028). Objection: This exhibit is a communication of settlement offer or proposal and is strictly inadmissible under 46 C.F.R § 502.75(c). Further, this email exchange took place during the timeframe when the parties were still engaged in settlement discussions being facilitated by CADRS.

3. Exhibit 24 – June 26, 2025, Email (PRIVA_00003). Objection: A certain portion of this correspondence shows that AIM was provided notice of Priva’s institution of a \$35/day/container administrative fee, which Priva is owed in reparations. However, the other parts of the exhibit concern settlement negotiations that were facilitated by CADRS and contain settlement offers or proposals that are strictly inadmissible under 46 C.F.R. §502.75(c). The use of the document at Hearing should be limited accordingly.

Deposition Designations:

___The parties will also rely upon, and intend to introduce, the deposition testimony of AIM corporate representative, Mark Hudson, and Priva corporate representative, Priyanka Dutta. This submission is without waiver to any objections either party may assert to specific testimony or exhibits from those deposition transcripts.

Page and Line Number	Objection(s)
25:10-12, 14-16	• Hearsay • Foundation
56:10-57:20	• Hearsay • Foundation • Speculation • Relevance
61:9-22	• Hearsay • Foundation • Speculation • Relevance
62:22-63:18 63:25-64:25 65:4-21	• Foundation • Speculation • Relevance • Hearsay

66:7-67:5	• Foundation • Speculation • Relevance
77:7-78:16	• Hearsay • Foundation • Speculation
78:17-25	• Foundation • Speculation
79:1-20	• Foundation • Speculation
80:20-81:8	• Hearsay • Speculation
84:21-85:9	• Hearsay • Speculation
85:20-87:21	• Hearsay • Foundation • Speculation • Relevance
97:14-98:18	• Foundation • Speculation • Relevance
105:19-106:10	• Foundation • Relevance
119:19-120:12 121:2-11 121:19-123:17 123:24-125:8 125:18-128:16	• Hearsay • Foundation • Relevance • Incomplete testimony
131:11-132:20	• Hearsay • Foundation
134:14-135:14	• Hearsay • Foundation • Speculation
135:15-136:13	• Foundation • Speculation • Relevance
136:16-137:12	• Foundation • Speculation • Relevance
139:22-140:19	• Hearsay • Foundation

	• Speculation
141:10-143:10	• Hearsay • Foundation • Speculation
158:23-159:16	• Foundation • Speculation • Improper lay opinion
159:25-160:16	• Foundation • Speculation • Improper lay opinion
161:20-24	• Foundation • Speculation • Improper lay opinion
162:8-18	• Foundation • Speculation • Improper lay opinion

V. Brief Statement of Applicable Law.

A. By the Parties:

The issues in this matter are generally governed by the Shipping Act. The FMC has jurisdiction over this matter pursuant to the Shipping Act. AIM filed its claim against Priva pursuant to 46 U.S.C. § 41301. AIM is seeking reparations for injuries it alleges Priva caused to AIM due to its violations of 46 U.S.C. §§ 41102 and 41104. AIM also contends that some or all of Priva's counterclaims are in violation of 46 C.F.R. §§ 541.1 et seq.

Priva filed its Counterclaim pursuant to 46 U.S.C. § 41301, seeking reparations for injuries it alleges were caused to it by AIM for violations of 46 U.S.C. 41102(a) and 46 C.F.R. § 545.2.

B. By AIM:

In violation of 46 U.S.C. section 41102(c), Priva improperly held unrelated shipments in order to extort payment from AIM for the Malaysia shipment. It is well settled that an NVOCC cannot

hold cargo for the purposes of seeking payment for unrelated shipments. *See Bernard & Weldcraft Welding Equipment v. Supertrans Int'l*, 2003 WL 136313 (2003); *Petra Pet, Inc. v. Panda Logistics Ltd.*, 2013 WL 9808694 (2013); *Way Interglobal Network, LLC v. Shenzhen Uniflex SCM Ltd.*, Docket No. 22-28, Initial Decision Served April 19, 2024. In refusing to release unrelated shipments, Priva sought to exert commercial leverage over AIM to pay exorbitant sums that Priva effectively made up after the fact based on what it determined to be reasonable.

These charges were never previously disclosed to AIM and are not located in any tariff or fee schedule. Priva's egregious conduct is in violation of 46 U.S.C. section 41102(c) and 41104(10) and (14)-(15). With respect to Priva's counterclaim, Priva cannot meet the elements of a claim under 46 U.S.C. § 41102(a). As Priva's corporate deponent conceded, this matter involves the assessment of a misdeclaration charge, not "ocean freight charges". 46 C.F.R. §545.2. As the interpretive regulation makes clear, an essential element of a section 41102(a) claim is use of an "unjust or unfair device or means," which cannot be inferred in the absence of bad faith or deceit. Here, Priva testified that AIM disclosed the nature of the commodity to Priva and CMA, which was used to provide the freight rate and which AIM paid. At no point in the two years since has either Priva or CMA indicated that AIM failed to pay the appropriate rate.

C. By Priva:

Priva's claims against AIM sound in 46 U.S.C. § 41102(a), which states:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

There are three elements of a § 41102(a) claim: (1) knowing and willful conduct; (2) through which, either directly or indirectly, by means of the actions enumerated in the statute or through other unjust or unfair means; (3) the respondent obtained or attempted to obtain ocean transportation at less than the rates of charges that would otherwise apply. *Muhammad Rana v. Michelle Franklin, D.B.A. "The Right Move," Inc.*, Docket No. 19-03, 5 F.M.C.2d 7, 19 (FMC May 25, 2022).

The first element is satisfied where the respondent had knowledge of the facts of the violation and acted intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. *Id.* A respondent's conduct is knowing and willful if it was "'purposely or obstinately' or with 'gross recklessness, heedlessness, or a callous disregard' for the consequences or 'plain indifference to the law's requirements.'" *Id.* at 19-20 (citing *Brokerage on Shipments of Ocean Freight—Max LePack, (Max LePack)*, 5 F.M.B. 435, 444 (FMB 1958); *Portman Square Ltd.-- Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Docket No. 97-17, 1998 FMC LEXIS 27, at *21-22 (ALJ Mar. 16, 198) (Admin. final 1998)).

The second element is satisfied where the respondent used false classification of the cargo or any other unjust device or means to obtain or attempt to obtain ocean transportation at less than applicable rates or charges. *Id.* at 20. The use of unjust devices or means is established by a showing of fraud or concealment on the respondent's part. *Id.* "Knowingly making claims that one knows or should know are false supplies the required element of fraud or concealment." *Id.* (citing *U.S. v. Open Bulk Carriers*, 727 F.2d 1061, 1065 (11th Cir. 1984)).

The third element is satisfied by showing that the respondent obtained or attempted to obtain transportation for less than otherwise applicable rates and charges. *Id.* at 21.

In this case, the evidence at hearing will establish that AIM knew, or should have known through the exercise of reasonable care, that the cargo shipped to Malaysia was not aluminum alloys as declared, but was, in fact, aluminum scrap. AIM's cargo misdeclaration is the type of "false classification" explicitly prohibited by § 41102(a). Moreover, because AIM knew or should have known that the cargo was improperly declared, AIM's misdeclaration constitutes the use of an unjust device or means. Finally, AIM has obtained the transportation of its cargo to Malaysia without paying for the charges that have been levied against it and directly caused by AIM's misdeclaration.

VI. The Conclusion to Be Drawn.

A. On Behalf of AIM

1. Priva's violated the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101, *et seq.* (the "Shipping Act"), by, *inter alia*, failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering AIM's cargo including:
 - i. Improperly refusing to release the Sea Waybills ("SWBs") associated with the two bookings (Booking Nos. NAM7478044 and 28435995), without lawful justification, or otherwise refusing to deliver AIM's cargo thereby obstructing AIM's ability to take possession of or deliver its cargo despite that AIM had paid all freight and shipping charges in connection with both shipments.

- ii. Holding AIM's cargo hostage or otherwise refusing to release or deliver the cargo associated with Booking Nos. NAM7478044 and 28435995 for unrelated freight and demurrage charges in violation of the Shipping Act.
 - iii. Assessing what amounts to improper detention and demurrage charges in violation of 46 C.F.R. §§ 541.1 *et seq.*
- 2. Assessing charges against AIM, unrelated to Booking Nos. NAM7478044 and 28435995, that were unfair, unjust, unreasonable, and not previously disclosed or contained in any tariff or contract including:
 - i. \$70,000 for the misdeclaration charges;
 - ii. \$30,000 for "contract" and "operational/administrative damages";
 - iii. \$16,768 in attorneys' fees;
 - iv. \$250,000 as a security deposit for future charges;
 - v. Administrative charges of \$35.00 per container per day; and
 - vi. Monthly interest at a rate of 1.5% per month (18% per annum) that would be applied to all unpaid balances.
- 3. Priva violated the Shipping Act by improperly used Booking Nos. NAM7478044 and 28435995, to assert commercial leverage over AIM in order to force AIM to pay Priva's monetary demands and enter into an indemnification agreement associated with Booking Nos. NAM6677014 and NAM6677015.

4. Priva violated the Shipping Act by repeatedly refusing to release the containers associated with Booking Nos. NAM7478044 and 28435995, despite AIM's repeated demand for release.
5. Priva forced AIM to incur demurrage and detention charges associated with the release of the containers associated with Booking No. NAM7478044.
6. Priva violated 46 U.S.C. §§ 41102(c) & (d), and 41104(a)(10), (14)-(15).
7. Priva violated 46 CFR § 515.32(d) by failing to provide copies of its invoices and supporting documents to AIM upon reasonable request.
8. Priva's actions caused damage to AIM in the amount of approximately \$21,000.00, plus attorneys' fees, interest and cost, which should be awarded to AIM as reparations.
9. AIM has no liability to Priva with respect to Booking Nos. NAM6677014 and NAM6677015 as AIM did not knowingly and willfully obtain or attempt to obtain transportation for property at less than the properly applicable rates, by any "unjust or unfair device or means."
10. AIM provided Priva with the necessary information for Priva to obtain a rate for transportation of the Malaysia Shipments, which included disclosure that the commodity was aluminum waste and scrap.
11. The transportation rate was based on the commodity description of aluminum waste and scrap and there was no alleged deception or bad faith.

12. After finalizing the rate, CMA issued booking confirmations reflecting that the commodity being moved for the Malaysia Shipments was “Waste and scrap, of aluminium.”
13. Priva conceded that the dispute at issue involves a misdeclaration charge and an alleged abandonment of containers, not a rate dispute.
14. Priva conceded that AIM paid the appropriate rate for the transportation of the containers for Booking Nos. NAM6677014 and NAM6677015.
15. In the over two years since CMA issued the booking confirmations, it has not assessed any additional freight charge or indicated that it provided transportation for less than rates or charges.
16. That Priva’s alleged damages are without completely without foundation or basis and are completely speculative.
17. That AIM is not required to indemnify Priva under a Letter of Guarantee and Indemnity to which it is not a party. The agreement Priva relies upon is with a completely distinct and separate entity, American & Iron Metal USA, Inc., and has no application to this matter.
18. AIM is listed on all of the relevant documentation including the sales agreements, shipping instructions, bills of lading, sales documents, etc. American Iron & Metal USA, Inc. is not the shipper or a party to the transportation at issue in this matter.
19. Priva’s claim for indemnification as to alleged future charges is not ripe and speculative at best. Priva contends that the ocean carrier will only seek

detention and demurrage charges that accrue at destination from the shipper if the carrier cannot reach the consignee. Here, the consignee remains in contact with the carrier.

B. On Behalf of Priva:

1. AIM is bound by the obligations and terms set forth in the May 21, 2021 LOI because AIM and AIM USA are indistinguishable entities in relation to Priva.
2. AIM knowingly, willfully, and negligently failed to take reasonable, prudent, and expected steps to verify the nature of the cargo of the Malaysia Shipments before declaring the cargo to Priva.
3. AIM knew, or at a minimum should have known through the exercise of reasonable prudence and care, that the cargo within the containers for the Malaysia Shipments was not aluminum alloy as declared to Priva.
4. AIM's knowing and willful cargo misdeclaration constitutes a false classification and use of unjust and unfair means to obtain or attempt to obtain ocean transportation for property at less than rates or charges that would otherwise apply.
5. AIM has obtained and is attempting to obtain ocean transportation for property at less than rates or charges that would otherwise apply by refusing to pay the charges owed to CMA CGM and Priva for its cargo misdeclaration.

6. AIM knowingly and willfully, directly or indirectly, by means of false classification and other unjust and unfair device or means, obtained and attempted to obtain ocean transportation for property at less than the rates or charges that would otherwise apply in violation of 46 U.S.C. § 41102(a).
7. AIM misdeclared the cargo within the twenty containers of the Malaysia Shipments in violation of AIM's obligations within the LOI and the general duty owed by shippers to properly declare cargo.
8. AIM's cargo misdeclaration caused CMA CGM to assess the \$70,000 misdeclaration charge against Priva.
9. AIM's cargo misdeclaration caused Priva to incur significant administrative costs and expenses as a direct result of the misdeclaration.
10. AIM acted in bad faith in failing to promptly pay the misdeclaration fees assessed by CMA CGM.
11. AIM is responsible for the payment of the CMA CGM \$70,000 Misdeclaration Invoice charge to Priva.
12. AIM is responsible for the significant administrative costs and expenses incurred by Priva as a result of AIM's cargo misdeclarations.
13. Under 46 U.S.C. § 41305, Priva is entitled to reparations from AIM for these actual injuries caused by AIM's Shipping Act violations and breach of the LOI.

14. Priva acted reasonably and justifiably under the circumstances for AIM's failure to pay the amounts owed to CMA CGM and Priva and for AIM's cargo misdeclaration.
15. Priva did not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering AIM's property.
16. The claimed acts or omissions of Priva, as alleged by AIM, did not occur on a normal, customary, or continuous basis. Priva, therefore, did not violate the Shipping Act.
17. The claimed acts or omissions of Priva, as alleged by AIM, were not the proximate cause of AIM's alleged losses.
18. Priva did not unreasonably refuse to deal or negotiate with AIM.
19. The charges assessed against AIM were reasonable, justified, and consistent with the Shipping Act.
20. Priva did not violate § 41102(c) of the Shipping Act.
21. Priva did not violate § 41102(d) of the Shipping Act.
22. Priva did not violate § 41104(a)(10) of the Shipping Act.
23. Priva did not violate § 41104(a)(14) of the Shipping Act.
24. Priva did not invoice AIM for any demurrage or detention charges.

Therefore, Priva did not violate the Shipping Act or applicable FMC Regulations, including 46 U.S.C. § 41104(a)(15) and 46 C.F.R. § 545.5.

25. Priva acted as an NVOCC in relation to the shipments at issue. Therefore, Priva did not violate 46 C.F.R. § 515.32(d) as alleged by AIM above because that regulation only applies to ocean freight forwarders. *See Persimmon Augst v. Transparent Logistics LLC dba Transparent International*, Docket No. 2028(I), (SCO Feb. 27, 2026), pp. 24-25.
26. AIM failed to mitigate its damages, if any.
27. AIM's damages, if any, were caused by AIM's own acts or omissions.
28. AIM acted unjustly and unreasonably with regard to the shipments at issue.
29. AIM's claims against Priva should be denied and dismissed.
30. Priva's claims against AIM should be granted and reparations, including interest, attorneys' fees, costs, and all other just and equitable relief available, should be awarded to Priva.

VII. Suggested time and location of hearing and estimated time required for presentation of the party's or parties' case.

A. By AIM:

As Your Honor previously recognized, "cases such as these are resolved following briefing." August 5, 2025 Initial Scheduling Order. AIM contends that this matter is more appropriately decided on the briefs and does not require live testimony, which would only increase costs for all involved. The issues here are not so complex as to require live testimony and the amounts at issue are modest for a live hearing. AIM's claim is for approximately \$21,000 plus fees and interest. Priva's primary claim is for payment of a \$70,000 misdeclaration charge, which it has

not even paid and is unsupported. The remainder of Priva's damages are completely speculative, not founded on competent evidence and in violation of federal law.

The two witnesses in this matter are Mark Hudson and Priyanka Dutta, neither of which reside in the D.C. area. Mark Hudson resides in Montreal, Canada, and Priyanka Dutta resides in New York. Likewise, AIM's corporate representative resides in Montreal as well. Counsel for AIM's office is in Conshohocken, Pennsylvania. The two witnesses in this matter have been deposed and most, if not all, of their testimony can be pulled from the relevant deposition transcripts. To extent necessary, the witnesses may provide declarations or affidavits in support of their position.

Both parties have reserved the right to seek their fees and costs following a decision, and the costs and time associated with travel would serve only to increase amounts. Accordingly, AIM respectfully requests that this matter be decided through briefing.

B. By Priva:

Priva anticipates that one (1) day will be necessary to complete the Hearing in this matter, with the possibility of the Hearing extending into a second day if needed. Priva requests that the Hearing be held at the Federal Maritime Commission beginning at 9:30 a.m. on May 4, 2026, or on a date and time to be set by the Presiding Officer.

VIII. Any appropriate comments, suggestions, or information which might assist the parties in preparing for the hearing or otherwise aid in the disposition of the proceeding.

A. By AIM:

AIM incorporates its position set forth in section VII(A) above.

B. By Priva:

On March 5, 2026, AIM notified Priva that it intended to no longer maintain its request for Hearing in this matter as pled in its Complaint. Rather, AIM now asks for the Presiding Officer to decide this case on the briefs.

Priva requested a Hearing in this matter in its counterclaim pleading and Priva's position has not changed. Priva respectfully submits that a Hearing is the most efficient way to resolve this dispute – both for the Parties and the Presiding Officer. Additionally, Priva submits that the Presiding Officer's ability to see and hear the evidence and witnesses live, rather than in writing, is critical to fully appreciating the breadth and depth of this misdeclaration issue. For AIM, there is \$21,000 at stake. For Priva, it is a potential seven-figure liability for continuing to accrue demurrage charges and Priva's reputation with a major ocean carrier and within the industry. Ms. Dutta is ready, willing, and able to testify against the actions of AIM. To that end, granting AIM's request, which is only now being made at the time of filing of this Joint Prehearing Order, would be fundamentally unfair, deprive Priva of its "day in court," and risk guaranteeing the fair and efficient administration of justice. Priva requests that the Presiding Officer set a date for Hearing in this matter during the Prehearing Conference on March 17, 2026.

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Date: March 6, 2026